own portfolios. Why did the sausage-makers, who knew what was in the sausage, keep so many sausages for personal consumption?

The explanation has to be that at least one arm of the bank thought these securities were worthwhile investments, despite their risk. Investment in MBS seemed to be part of a culture of excessive risk-taking that had overtaken banks. A key factor contributing to this culture is that, over short periods of time, it is very hard, especially in the case of new products, to tell whether a financial manager is generating true excess returns adjusting for risk, or whether the current returns are simply compensation for a risk that has not yet shown itself but that will eventually materialize. This could engender excess risk taking both at the top and within the firm.

For instance, the performance of CEOs is evaluated based in part on the earnings they generate relative to their peers. To the extent that some leading banks can generate legitimately high returns, this puts pressure on other banks to keep up. Follower-bank bosses may end up taking excessive risks in order to boost various observable measures of performance.

Indeed, even if managers recognize that this type of strategy is not truly value-creating, a desire to pump up their stock prices and their personal reputations may nevertheless make it the most attractive option for them. There is anecdotal evidence of such pressure on top management – perhaps most famously, Citigroup Chairman Chuck Prince, describing why his bank continued financing buyouts despite mounting risks, said: 'When the music stops, in terms of liquidity, things will be complicated. But, as long as the music is playing, you've got to get up and dance. We're still dancing.' *Financial Times*, 9 July 2007.

Even if top management wants to maximize long-term bank value, it may find it difficult to create incentives and control systems that